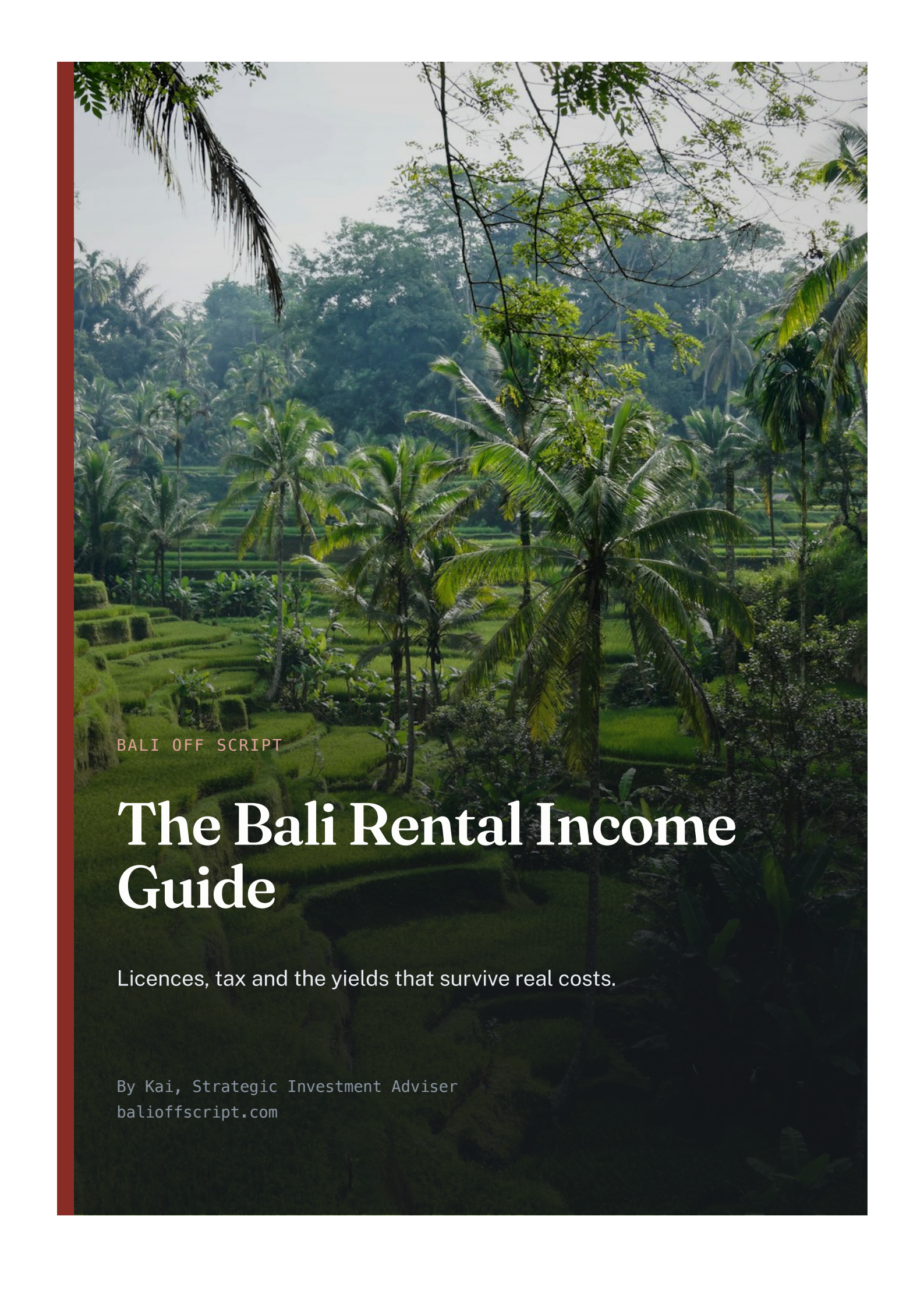




BALI OFF SCRIPT

The Bali Rental Income Guide

Licences, tax and the yields that survive real costs.

By Kai, Strategic Investment Adviser
balioffscript.com

How to use this guide. Every question buyers ask me about this topic, each with the short answer. The link under each one opens the full answer with the sources. Rules change: check the date on the page, and verify anything before you sign with your own notary, lawyer and tax consultant.

Rental & ROI

Licensing, management fees, and yields that survive contact with reality.

How do you invest in Bali property?

You cannot own land. You can still hold a legal, income-producing asset. The order you do things in decides whether it works.

[Full answer: balioffscript.com/rental/how-to-invest-in-bali-property/](https://balioffscript.com/rental/how-to-invest-in-bali-property/)

What yield does a Bali villa actually produce?

Gross yields get advertised at 8–15%. Net, after everything, is usually 4–6%. Here is where the difference goes.

[Full answer: balioffscript.com/rental/villa-rental-licensing-roi/](https://balioffscript.com/rental/villa-rental-licensing-roi/)

How does real estate work in Bali?

Everything a foreign buyer needs in one place: what you can hold, what it costs, what it earns and what to verify before paying anything.

[Full answer: balioffscript.com/rental/bali-real-estate-guide/](https://balioffscript.com/rental/bali-real-estate-guide/)

What should you check in a Bali villa management agreement?

The fee percentage is the least important number in the contract. These are the clauses that decide what you actually receive.

[Full answer: balioffscript.com/rental/villa-management-agreement-bali/](https://balioffscript.com/rental/villa-management-agreement-bali/)

Is buying a villa in Bali actually a good investment?

Sometimes. The honest answer depends on four numbers, and three of them are usually missing from the pitch.

[Full answer: balioffscript.com/rental/is-bali-villa-good-investment/](https://balioffscript.com/rental/is-bali-villa-good-investment/)

What occupancy do you need to break even on a Bali villa?

Usually 40–55% just to cover costs. Below that you are funding the property out of your own pocket.

[Full answer: balioffscript.com/rental/bali-villa-break-even-occupancy/](https://balioffscript.com/rental/bali-villa-break-even-occupancy/)

What does it cost to run a villa in Bali each month?

The line most projections leave blank. It does not shrink when the villa is empty.

[Full answer: balioffscript.com/rental/bali-villa-running-costs/](https://balioffscript.com/rental/bali-villa-running-costs/)

Why is the Bali yield you were quoted wrong?

Because it is gross. Here is every deduction between the advertised figure and your bank account.

[Full answer: balioffscript.com/rental/gross-vs-net-yield-bali/](https://balioffscript.com/rental/gross-vs-net-yield-bali/)

Apartment or villa: which returns more in Bali?

Apartments carry lower running costs and a licensing route that villas lost in 2026. Villas carry the higher rate.

[Full answer: balioffscript.com/rental/bali-apartment-vs-villa-investment/](https://balioffscript.com/rental/bali-apartment-vs-villa-investment/)

How much should you actually pay for a Bali villa?

Work backwards from the return you need. The price that makes a deal work is often well below the asking price.

[Full answer: balioffscript.com/rental/how-much-to-pay-bali-villa/](https://balioffscript.com/rental/how-much-to-pay-bali-villa/)

Is Bali property a bubble?

Prices have run hard. Whether that is a bubble depends on which part of the market you are looking at.

[Full answer: balioffscript.com/rental/is-bali-property-a-bubble/](https://balioffscript.com/rental/is-bali-property-a-bubble/)

What do villa staff cost in Bali?

Base salaries are low. The employer obligations on top of them, BPJS and the mandatory annual bonus, are what owners forget to budget.

[Full answer: balioffscript.com/rental/villa-staff-salaries-bali/](https://balioffscript.com/rental/villa-staff-salaries-bali/)

Is Airbnb legal in Bali?

Listing a villa nightly is a licensed commercial activity. Plenty of listings do not hold that licence, and enforcement has tightened.

[Full answer: balioffscript.com/rental/airbnb-bali-rules/](https://balioffscript.com/rental/airbnb-bali-rules/)

What is the Bali property market doing in 2026?

Land in well-zoned coastal locations is holding. The standardised villa rental business built on it is where the pressure actually is.

[Full answer: balioffscript.com/rental/bali-property-market-2026/](https://balioffscript.com/rental/bali-property-market-2026/)

Do you need insurance for a Bali villa?

Building, contents and public liability are the baseline. The exclusions are where owners discover their policy does not do what they assumed.

[Full answer: balioffscript.com/rental/bali-villa-insurance/](https://balioffscript.com/rental/bali-villa-insurance/)

Is long-term rental better than Airbnb in Bali?

Short-term looks better on the headline rate and worse after costs, vacancy and licensing. For many owners the annual lease is the honest winner.

[Full answer: balioffscript.com/rental/long-term-rental-bali-investment/](https://balioffscript.com/rental/long-term-rental-bali-investment/)

What occupancy should you expect in Bali?

Peak months fill themselves. The annual number is decided in the shoulder and wet season, which is exactly what projections skip.

[Full answer: balioffscript.com/rental/bali-occupancy-seasonality/](https://balioffscript.com/rental/bali-occupancy-seasonality/)

How many tourists visit Bali?

Arrivals have recovered past pre-pandemic levels. Villa supply has grown faster, which is why more visitors has not meant better yields.

[Full answer: balioffscript.com/rental/bali-tourism-statistics/](https://balioffscript.com/rental/bali-tourism-statistics/)

How do you make a Bali villa listing perform?

In a corridor of near-identical villas, photography and the first ten reviews decide your occupancy more than the building does.

[Full answer: balioffscript.com/rental/villa-listing-photography/](https://balioffscript.com/rental/villa-listing-photography/)

What mistakes do foreigners make buying in Bali?

Almost every loss here comes from the same short list, and almost every item on it is visible in the first fortnight.

[Full answer: balioffscript.com/rental/bali-property-mistakes/](https://balioffscript.com/rental/bali-property-mistakes/)

Where do you start with Bali property?

If you have never bought outside your own country, this is the order to learn things in, and the things you can safely ignore at first.

[Full answer: balioffscript.com/rental/bali-property-for-beginners/](https://balioffscript.com/rental/bali-property-for-beginners/)

How do you actually make money from Bali property?

Most people only know nightly rental. It is the most competitive of the four and the one with the heaviest operating load.

[Full answer: balioffscript.com/rental/ways-to-get-paid-from-bali-property/](https://balioffscript.com/rental/ways-to-get-paid-from-bali-property/)

Is buying property in Bali worth it?

For some buyers yes, for most of the ones being sold to, no. The difference is entirely in what you buy and what you verify.

[Full answer: balioffscript.com/rental/is-bali-property-worth-it/](https://balioffscript.com/rental/is-bali-property-worth-it/)

How do you value a property in Bali?

Value the land and the building separately, then check both against what the property can lawfully earn. Asking prices are not evidence.

[Full answer: balioffscript.com/rental/bali-property-valuation/](https://balioffscript.com/rental/bali-property-valuation/)

How do you negotiate a property in Bali?

Feel does not move a seller. Verified defects do. Every item below is a number you can put on the table.

[Full answer: balioffscript.com/rental/negotiating-bali-property/](https://balioffscript.com/rental/negotiating-bali-property/)

Should you manage your Bali villa yourself?

A manager costs a large share of revenue. Self-managing costs your time and requires someone local you trust. Both are real options.

[Full answer: balioffscript.com/rental/self-manage-vs-villa-manager/](https://balioffscript.com/rental/self-manage-vs-villa-manager/)

What do villas rent for in Bali?

Rates vary more by walkability and outlook than by postcode, and the annual number is set in the months nobody quotes.

[Full answer: balioffscript.com/rental/bali-rental-rates-by-area/](https://balioffscript.com/rental/bali-rental-rates-by-area/)

Is Canggu oversupplied with villas?

In the standard three-bedroom pool villa segment, yes. That is a yield problem before it is a land value problem, and the distinction matters.

[Full answer: balioffscript.com/rental/is-canggu-oversupplied/](https://balioffscript.com/rental/is-canggu-oversupplied/)

Is it better to buy from a developer or a private owner?

A developer gives you a new building and a company that may hold nothing. A private owner gives you a real asset and a title history you have to unpick.

[Full answer: balioffscript.com/rental/buying-from-developer-vs-owner/](https://balioffscript.com/rental/buying-from-developer-vs-owner/)

Is Bali running out of flight capacity?

Ngurah Rai is the constraint on arrivals, which makes it the constraint on rental demand. More villas do not create more visitors.

[Full answer: balioffscript.com/rental/bali-flight-capacity/](https://balioffscript.com/rental/bali-flight-capacity/)

How do you plan an exit from Bali property?

Your buyer pool is decided on the day you purchase, not the day you list. Almost nobody models this and it is where returns are actually realised.

[Full answer: balioffscript.com/rental/bali-property-exit-strategy/](https://balioffscript.com/rental/bali-property-exit-strategy/)

What happens in your first year owning a Bali villa?

The gap between the projection and the first twelve months is where most owners learn what they bought. Here is the sequence.

[Full answer: balioffscript.com/rental/first-year-owning-bali-villa/](https://balioffscript.com/rental/first-year-owning-bali-villa/)

How do you make money on a Bali leasehold?

A wasting asset can still produce a return, but only if the income clears the decay. That arithmetic is the whole discipline.

[Full answer: balioffscript.com/rental/making-money-leasehold-bali/](https://balioffscript.com/rental/making-money-leasehold-bali/)

Do you need an alcohol licence in Bali?

Serving alcohol commercially is separately licensed from your accommodation permit, and enforcement treats them as different things.

[Full answer: balioffscript.com/rental/alcohol-licence-bali/](https://balioffscript.com/rental/alcohol-licence-bali/)

What can you buy in Bali under \$100,000?

Under a hundred thousand you are buying land, a short lease, or a small off-plan unit. Each of those is a different risk, and only one of them is usually worth it.

[Full answer: balioffscript.com/rental/bali-property-under-100k/](https://balioffscript.com/rental/bali-property-under-100k/)

What can you buy in Bali with \$100,000 to \$250,000?

This is the bracket where a real income property becomes possible, and also where the most overpriced off-plan units in Bali are sold.

[Full answer: balioffscript.com/rental/bali-property-100k-250k/](https://balioffscript.com/rental/bali-property-100k-250k/)

What can you buy in Bali with \$250,000 to \$500,000?

This is where prime-area stock, long terms and genuine income properties all become available at once, and where the decision stops being about price.

[Full answer: balioffscript.com/rental/bali-property-250k-500k/](https://balioffscript.com/rental/bali-property-250k-500k/)

What can you buy in Bali for over \$500,000?

Above half a million the market is thin, the buyers are few and the exit is the hardest part of the deal. That changes what you should be looking at.

[Full answer: balioffscript.com/rental/bali-property-over-500k/](https://balioffscript.com/rental/bali-property-over-500k/)

How many bedrooms should a Bali villa have?

Revenue per bedroom falls as you add bedrooms, but total revenue rises and costs do not rise as fast. Where that crosses over is the whole decision.

[Full answer: balioffscript.com/rental/bedrooms-vs-rental-income-bali/](https://balioffscript.com/rental/bedrooms-vs-rental-income-bali/)

How do you set the nightly rate for a Bali villa?

Most owners price off the listing prices of neighbours, which are not what those villas achieve. Here is the method that actually works.

[Full answer: balioffscript.com/rental/villa-daily-rate-bali/](https://balioffscript.com/rental/villa-daily-rate-bali/)

Villa, apartment or townhouse in Bali?

The three property types carry different titles, different licences and completely different exit markets. The building is the least important difference.

[Full answer: balioffscript.com/rental/villa-vs-apartment-vs-townhouse-bali/](https://balioffscript.com/rental/villa-vs-apartment-vs-townhouse-bali/)

Can you earn passive income from Bali property?

It is income, and it is not passive. Knowing exactly how much attention it needs is the difference between a good year and a bad one.

[Full answer: balioffscript.com/rental/passive-income-bali-property/](https://balioffscript.com/rental/passive-income-bali-property/)

Who actually books Bali villas?

Different parts of Bali serve different guests with different booking behaviour. Buying in the wrong area for your property type costs you occupancy.

[Full answer: balioffscript.com/rental/who-books-bali-villas/](https://balioffscript.com/rental/who-books-bali-villas/)

How do you secure a Bali villa?

Most losses in Bali villas are opportunistic and preventable. The fix is layered and cheap, and guests notice when it is absent.

[Full answer: balioffscript.com/rental/villa-security-bali/](https://balioffscript.com/rental/villa-security-bali/)

Should a Bali villa have its own booking website?

Platform commission is fifteen to twenty percent of every booking. A returning guest who books direct is pure margin, and most owners never ask them to.

[Full answer: balioffscript.com/rental/direct-booking-website-bali-villa/](https://balioffscript.com/rental/direct-booking-website-bali-villa/)

How do you protect a Bali villa from guest damage?

Most damage is minor and cumulative rather than dramatic. The protection is screening, a deposit, and a written record of condition.

[Full answer: balioffscript.com/rental/guest-screening-damage-deposit-bali/](https://balioffscript.com/rental/guest-screening-damage-deposit-bali/)

Can you host weddings and events at a Bali villa?

Events pay several times a normal night and carry licensing, neighbour and community consequences that a nightly booking does not.

[Full answer: balioffscript.com/rental/weddings-events-villa-bali/](https://balioffscript.com/rental/weddings-events-villa-bali/)

Does land banking work in Bali?

Buying land and waiting works when the land appreciates faster than a lease term decays. On a leasehold, it usually does not.

[Full answer: balioffscript.com/rental/land-banking-bali/](https://balioffscript.com/rental/land-banking-bali/)

Which platforms should a Bali villa list on?

More listings means more exposure and one calendar to keep in sync. Getting that wrong in August is the most expensive administrative error available.

[Full answer: balioffscript.com/rental/channel-manager-ota-bali/](https://balioffscript.com/rental/channel-manager-ota-bali/)

What does a Bali villa pool cost to run?

The pool is the product. It is also a daily chemistry problem in a tropical climate and the most visible thing that goes wrong.

[Full answer: balioffscript.com/rental/pool-maintenance-cost-bali/](https://balioffscript.com/rental/pool-maintenance-cost-bali/)

How do you fix an underperforming Bali villa?

Most underperforming villas are not bad properties. They are averagely run, and the fixes are cheap and in a specific order.

[Full answer: balioffscript.com/rental/villa-repositioning-bali/](https://balioffscript.com/rental/villa-repositioning-bali/)

What is the difference between an agent and a manager in Bali?

An agent sells and is paid on the transaction. A manager operates and is paid on revenue. Neither is your adviser unless you engaged them as one.

[Full answer: balioffscript.com/rental/property-manager-vs-agent-bali/](https://balioffscript.com/rental/property-manager-vs-agent-bali/)

What makes a Bali villa guest experience good?

Reviews drive ranking and rate. The things that move them are cheap, specific and mostly decided before the guest arrives.

[Full answer: balioffscript.com/rental/welcome-pack-guest-experience-bali/](https://balioffscript.com/rental/welcome-pack-guest-experience-bali/)

Should you sell a Bali villa furnished?

Furniture is worth more inside a photograph than outside one. Selling empty costs you the images that sell the property.

[Full answer: balioffscript.com/rental/selling-villa-furnished-or-empty/](https://balioffscript.com/rental/selling-villa-furnished-or-empty/)

Does a Bali villa need a name and a brand?

A name is free and it is the only part of your listing a guest remembers. Most owners choose one badly and never think about it again.

[Full answer: balioffscript.com/rental/villa-naming-branding-bali/](https://balioffscript.com/rental/villa-naming-branding-bali/)

How should a Bali villa be cleaned between guests?

Cleanliness is the review category most likely to be marked down and the cheapest to get right. The climate makes it harder than at home.

[Full answer: balioffscript.com/rental/villa-housekeeping-standards-bali/](https://balioffscript.com/rental/villa-housekeeping-standards-bali/)

Should you buy a second property in Bali?

The second one is easier than the first and the economics only improve at three or four. Below that you carry the same overhead twice.

[Full answer: balioffscript.com/rental/second-property-bali-portfolio/](https://balioffscript.com/rental/second-property-bali-portfolio/)

Can you rent out your Bali home when you are away?

Using a property yourself and letting it the rest of the year is a common plan with a licensing question and an arithmetic problem.

[Full answer: balioffscript.com/rental/renting-out-your-own-home-bali/](https://balioffscript.com/rental/renting-out-your-own-home-bali/)

Is a Bali villa safe for children?

Family bookings are a large share of the market and the properties that win them are explicit about safety rather than silent.

[Full answer: balioffscript.com/rental/villa-safety-families-bali/](https://balioffscript.com/rental/villa-safety-families-bali/)

Is Bali property a good idea for retirees?

Cheaper living, a warm climate and a residency route that exists. Against that, a wasting asset, thin liquidity and healthcare with a ceiling.

[Full answer: balioffscript.com/rental/bali-property-for-retirees/](https://balioffscript.com/rental/bali-property-for-retirees/)

Does the Bali property market have cycles?

Four disruptions in twenty-five years, each followed by recovery. An investment that only works in good years has no margin for what this market does.

[Full answer: balioffscript.com/rental/bali-property-market-cycles/](https://balioffscript.com/rental/bali-property-market-cycles/)

Is a Bali villa suitable for older or less mobile guests?

Bali villas are full of steps, level changes and open edges. Very few are accessible, and the ones that are have a market to themselves.

[Full answer: balioffscript.com/rental/villa-accessibility-older-guests/](https://balioffscript.com/rental/villa-accessibility-older-guests/)

Tax

Transaction taxes, rental income tax, NPWP and what actually gets enforced.

What taxes do you pay when buying property in Bali?

Around 5% for the buyer on a titled transfer, and zero on a leasehold, which is a bigger deal than it sounds.

[Full answer: balioffscript.com/tax/bali-property-taxes/](https://balioffscript.com/tax/bali-property-taxes/)

What tax do you owe on villa rental income in Bali?

10% final for a resident individual, 20% for a non-resident, corporate rates inside a PT PMA. Plus a 10% regional tax the platforms do not collect for you.

[Full answer: balioffscript.com/tax/rental-income-tax-bali/](https://balioffscript.com/tax/rental-income-tax-bali/)

When do you become an Indonesian tax resident, and do you need an NPWP?

183 days, and then Indonesia taxes your worldwide income. Most long-stay foreigners have not done this arithmetic.

[Full answer: balioffscript.com/tax/npwp-tax-residency/](https://balioffscript.com/tax/npwp-tax-residency/)

How do you move money to Indonesia to buy property?

Bank transfer, documented, traceable. Never cash, and never through someone else's account.

[Full answer: balioffscript.com/tax/moving-money-to-indonesia/](https://balioffscript.com/tax/moving-money-to-indonesia/)

Will you be taxed twice on Indonesian income?

Indonesia has treaties with most countries foreign buyers come from. They allocate taxing rights; they do not make the income invisible.

[Full answer: balioffscript.com/tax/double-tax-treaty-indonesia/](https://balioffscript.com/tax/double-tax-treaty-indonesia/)

What is BPHTB and who pays it?

The buyer's acquisition duty on a titled transfer, around 5 percent, calculated on whichever value the tax office decides is higher.

[Full answer: balioffscript.com/tax/bphtb-transfer-tax-bali/](https://balioffscript.com/tax/bphtb-transfer-tax-bali/)

What is the annual property tax in Bali?

Modest by European or Australian standards, based on the government's assessed value, and the receipts matter more than the amount.

[Full answer: balioffscript.com/tax/pbb-annual-property-tax/](https://balioffscript.com/tax/pbb-annual-property-tax/)

What tax do you pay when selling property in Indonesia?

Indonesia does not tax the gain. It taxes the sale value, which is a very different calculation and usually simpler than people expect.

[Full answer: balioffscript.com/tax/capital-gains-tax-indonesia-property/](https://balioffscript.com/tax/capital-gains-tax-indonesia-property/)

Do you pay tax on Airbnb income in Bali?

Platform income is Indonesian-source income regardless of which country the guest paid from, and traceability has improved sharply.

[Full answer: balioffscript.com/tax/airbnb-tax-indonesia/](https://balioffscript.com/tax/airbnb-tax-indonesia/)

How do you get an NPWP in Indonesia?

The taxpayer number that most property transactions, company obligations and filings run through. Straightforward to obtain and awkward to be without.

[Full answer: balioffscript.com/tax/npwp-how-to-get/](https://balioffscript.com/tax/npwp-how-to-get/)

Do Australians pay tax twice on Bali property?

Indonesia taxes the property income first. Australia assesses your worldwide income and gives credit. Relief is not automatic.

[Full answer: balioffscript.com/tax/tax-treaty-australia-indonesia/](https://balioffscript.com/tax/tax-treaty-australia-indonesia/)

What are NITKU and Coretax, and do property buyers need them?

Indonesia rebuilt its tax administration in 2025 and 2026. If your tax number is not linked correctly, filings and transfers stall.

[Full answer: balioffscript.com/tax/npwp-nitku-coretax-indonesia/](https://balioffscript.com/tax/npwp-nitku-coretax-indonesia/)

Can foreigners get a mortgage in Indonesia?

Domestic mortgage lending to foreigners barely exists in practice, and leasehold is not mortgageable at all. Almost everyone pays cash or borrows at home.

[Full answer: balioffscript.com/tax/can-foreigners-get-a-mortgage-indonesia/](https://balioffscript.com/tax/can-foreigners-get-a-mortgage-indonesia/)

What is NPWPD and do you need one?

The regency-level tax on accommodation that Airbnb does not collect for you, and the registration number that goes with it.

[Full answer: balioffscript.com/tax/npwpd-regional-tax-bali/](https://balioffscript.com/tax/npwpd-regional-tax-bali/)

Do UK residents pay tax twice on Bali property?

Indonesia taxes the property income first. HMRC assesses your worldwide income and gives credit. The balance usually falls in the UK.

[Full answer: balioffscript.com/tax/uk-indonesia-tax-treaty/](https://balioffscript.com/tax/uk-indonesia-tax-treaty/)

How does US tax work on Bali property?

The United States taxes citizens on worldwide income wherever they live, and the reporting obligations on foreign assets are the part that catches people.

[Full answer: balioffscript.com/tax/us-citizens-bali-property/](https://balioffscript.com/tax/us-citizens-bali-property/)

When does an Indonesian business need to charge VAT?

Above a turnover threshold a business must register, charge and remit VAT, and e-faktur invoicing is not optional once you are in.

[Full answer: balioffscript.com/tax/vat-ppn-indonesia-business/](https://balioffscript.com/tax/vat-ppn-indonesia-business/)

How does employee payroll tax work in Indonesia?

Employers withhold income tax from salaries monthly, on top of BPJS contributions and THR. Getting it wrong accrues quietly.

[Full answer: balioffscript.com/tax/payroll-tax-indonesia-employees/](https://balioffscript.com/tax/payroll-tax-indonesia-employees/)

How does currency risk affect Bali property?

Your income is in rupiah, your capital came from somewhere else, and a ten percent move changes your return more than most operating decisions.

[Full answer: balioffscript.com/tax/currency-risk-bali-property/](https://balioffscript.com/tax/currency-risk-bali-property/)

How do you close an Indonesian tax registration?

A tax number with filing obligations and nobody filing accrues penalties quietly. Leaving is not the same as closing.

[Full answer: balioffscript.com/tax/npwp-deactivation-indonesia/](https://balioffscript.com/tax/npwp-deactivation-indonesia/)

How does the Singapore Indonesia tax treaty work?

A territorial system next door to a worldwide one, with a treaty that allocates the property income to Indonesia first.

[Full answer: balioffscript.com/tax/singapore-indonesia-tax-treaty/](https://balioffscript.com/tax/singapore-indonesia-tax-treaty/)

How are German residents taxed on Bali property?

Germany taxes worldwide income with progression, and the treaty allocates the property income to Indonesia. The interaction is not intuitive.

[Full answer: balioffscript.com/tax/germany-indonesia-tax-treaty/](https://balioffscript.com/tax/germany-indonesia-tax-treaty/)

Want a second pair of eyes?

I look at deals before people sign: the documents, the zoning, the lease and the numbers.
Message me with what you are looking at.

[WhatsApp Kai](#) · balioffscript.com